**Q20**

(i)

- Accounting performance ratios are generally calculated using book values and that is an important enough reason to make the book value of equity relevant [1]
- The figure will only change from year to year in the event that Vonder seeks a fresh injection of share capital or has a significant inflow from retained earnings [1]
- That makes the resulting ROCE ratio consistent from one year to the next, with changes in capital employed only reflecting increases or decreases because of investments or withdrawals [1]
- The book value of share capital also reflects the actual cash invested in the company by the shareholders and so it is a realistic measure of the management team's performance [1]
- Basing ROCE on the market value of equity reflects the wealth created for the shareholders in relation to the opportunity cost of leaving their investment with the company [1]
- That makes it a more realistic measure of the benefits of investing in the company from the shareholders' perspective [1]
- It also holds the directors responsible for the value of the resources that have been entrusted to them and the associated return that they earn from those resources [1]
- That could make life difficult for the directors because any increase in the share price, which could be due their sound management of the business, will decrease their ROCE [1]
- Having said that, it could also motivate the board to ensure that the shareholders are adequately compensated for the investment that they are making [1]

[9, Max 8]

(ii)

- The investment in the factory will understate ROCE for the year ended 30 June 2020 [1]
- The capital employed will be inflated by $150 billion, despite the fact that the funds were not invested in any meaningful way until a month before the year end [1]
- The operating profit does not appear to have increased by much in response to this investment, if at all [1]
- There could have been additional costs that actually reduced operating profit for the year because they could not be carried forward. For example, the costs of recruiting staff to work in the factory will have been incurred and written off as a cost [1]
- The company could also have charged a month's depreciation on the building [1]
- It would be far more realistic to base ROCE on an amount that excludes the fresh investment. In other words 362 + 350 - 150 = $562 billion [1]
- Doing that would enable the shareholders to compare the ROCE of 48/562 = 9% with the previous figure of 44/(351+240) = 7% [1]
- The alternative would be 48/(362+350) = 7% [1]

[8, Max 7]

(iii)

- In theory, if the shareholders are disappointed with the profitability and performance of the company then the share price could decline [1]. ROCE reflects the company's ability to generate wealth from the resources that it has available to it and so it is a key ratio for investors [1]

- That would, however, be a potentially naïve assumption which would depend on all shareholders and potential shareholders being misled [1]
- In the short term, the announcement of misleading information could lead to offsetting market forces, with the shareholders who are disappointed seeking to sell pushing the share price down and those who believe that the news is not actually a problem buying shares and pushing the share price up [1]
- There could be a brief period of turbulence, but that would not necessarily cause any serious problems in the longer term because the market will be driven by informed decisions by intelligent participants [1]
- The only real concern would be that the threat of such misunderstandings could lead to the directors indulging in dysfunctional behaviour, such as not making investments in case the market misunderstands them [1]

[5]

**[Total 20]**

**[Paper Total 100]**

*Q20 was done badly. There were many weak answers to all parts of this question. Candidates did not understand ROCE and could write very little for any parts of the question. This question was the poorest in terms of numbers of passing candidates.*

**END OF EXAMINERS' REPORT**